

eliminate it has allowed lean companies such as Toyota to dominate entire industries. In the world of software, the agile development methodologies I had practiced until that time had their origins in lean thinking. They were designed to eliminate waste too.

Yet those methods had led me down a road in which the majority of my team's efforts were wasted. Why?

The answer came to me slowly over the subsequent years. Lean thinking defines value as providing benefit to the customer; anything else is waste. In a manufacturing business, customers don't care how the product is assembled, only that it works correctly. But in a startup, who the customer is and what the customer might find valuable are unknown, part of the very uncertainty that is an essential part of the definition of a startup. I realized that as a startup, we needed a new definition of value. The real progress we had made at IMVU was what we had learned over those first months about what creates value for customers.

Anything we had done during those months that did not contribute to our learning was a form of waste. Would it have been possible to learn the same things with less effort? Clearly, the answer is yes.

For one thing, think of all the debate and prioritization of effort that went into features that customers would never discover. If we had shipped sooner, we could have avoided that waste. Also consider all the waste caused by our incorrect strategic assumptions. I had built interoperability for more than a dozen different IM clients and networks. Was this really necessary to test our assumptions? Could we have gotten the same feedback from our customers with half as many networks? With only three? With only one? Since the customers of all IM networks found our product equally unattractive, the level of learning would have been the same, but our effort would have been dramatically less.

Here's the thought that kept me up nights: did we have to support any networks at all? Is it possible that we could have discovered how flawed our assumptions were without building anything? For example, what if we simply had offered customers